were informed about the dilatoriness of the government in this regard and the reasons for it. The shareholders were furious at the delay and stated that if even after six months, the government could not find a suitable candidate then the RBI might as well be wound up. The entire proceedings of the meeting were cabled by Deshmukh to the Secretary of State at the behest of the Directors led by Purshotamdas. However, there is a mistaken impression[23] in some quarters that it was this meeting which had a crucial bearing on the decision to appoint Deshmukh as Governor. The sequence of events shows that this decision had already been taken much earlier and if anything it was the late dispatch of the cable of approval from the Secretary of State which delayed matters.[24]

Deshmukh observes that while Sir Jeremy Raisman, the Finance Member, bowed to the inevitable from the outset and seemed determined to ensure that nothing interfered with the confidence and close cooperation that must exist between the Governor and the Finance Member, the Finance Secretary and the Economic Adviser were a 'little less forthcoming and more censorious.'[25] The Finance Department went to the extent of taking a second opinion on important matters from the Managing Director of the Imperial Bank. Deshmukh says that this practice was abandoned 'when they found that in no case was the second opinion different from mine.'[26] Deshmukh's friendship with Raisman matured when both were members of the Indian delegation to Bretton Woods (of which Raisman was the leader) in connection with the formulation of proposals for the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD) in July 1944.

Letters of congratulations poured in from all sides including one from Verrier Elwin who wrote: 'May I send you a very brief line of most enthusiastic congratulations on your appointment as Governor of the Reserve Bank? I would have written before, but I have been traveling about and it was not easy to write. All your old friends in the CP as well as your new ones in Bombay will be equally delighted with the honour done you, and personally I cannot say how much pleasure it has given us all.'[27]

The aftermath of this appointment is also indicative of Purshotamdas's outlook on public affairs. Following Deshmukh's appointment, there were plans to have a celebration in Bombay to honour Deshmukh. The country at the time was reeling under the cumulative impact of the Second World War